11 In 2003, Jerry bought a house.

In 2007, Jerry sold the house to Mia.
He made a profit of 20%

In 2012, Mia sold the house for £162 000
She made a loss of 10%

Work out how much Jerry paid for the house in 2003

Pct = percentage; GBP = pounds. Work backwards through each sale.

Mia sold at a 10% loss, so £162000 is 90% of her buying price.

	Pct	GBP	
	90	162000	
÷ 90			÷ 90
	1	1800	
× 100			× 100
	100	180000	

2007 price = £180000

1 mark
Recover the amount before the 10% loss

Jerry sold at a 20% profit, so £180000 is 120% of his buying price.

	Pct	GBP	
	120	180000	
÷ 120			÷ 120
	1	1500	
× 100			× 100
	100	150000	

2003 price = £150000

1 mark
Recover the amount before the 20% profit

1 mark
Correct original buying price

£ 150000

(Total for Question 11 is 3 marks)